Investing Buffalo

UK INVESTING STARTER SHEET

Thanks for signing up and downloading! This sheet explores the background to the Investing Buffalo way, useful info on picking the right type of account, along with account setup and buying your first fund.

01

FOUR STAGES OF FINANCIAL HEALTH

Financial health moves through four stages, from relying entirely on your effort income at one end, to your investment engine generating more income than you'll ever need at the other. That top stage is Financial Freedom.

Financial Dependency

You rely entirely on your effort income. If it stopped, you'd struggle beyond the next 6 to 12 months.

Financial Strength

You could last 1 to 3 years on the cash and investments you've built. The pressure is off.

Financial Independence

Your investment engine covers the lifestyle you want, for good. Working is a choice.

Financial Freedom

Your investment engine covers your lifestyle expenses, two, three or even four times over.

Check out the Financial Freedom Roadmap link below for a more in-depth view of the Four Stages of Financial Health.

Financial Freedom Roadmap →

investingbuffalo.com/financial-freedom-roadmap

02

THE PATH FORWARD

Wherever you are on your journey, the path forward is the same. You need to build an investment engine by maximising your income, optimising your lifestyle expenses, and investing the difference. This forms the basis of the Roadmap. I call it MOB: Maximise Income Streams, Optimise Lifestyle Expenses, Build Investment Engine.

Maximise Income Streams

Three kinds. Effort income is your job, capped by the hours you have. Leveraged income is a side hustle, business or product that keeps paying after the work is done. Passive income is assets paying you while you sleep. Early on it's nearly all effort. The aim over time is growing the other two.

Optimise Lifestyle Expenses

This isn't about never having a Starbucks. It's spending on what you value and not mindlessly on what you don't. Do it well and a gap opens between what you earn and what you spend.

Build Investment Engine

Invest the gap. Every pound buys assets that pay you back. Do it for long enough and the engine covers the bills, and effort income becomes voluntary.

Check out the MOB Calculator link below and use the live link to see how growing your income and optimising lifestyle expenses impact what can go into your investment engine.

The MOB Calculator →

investingbuffalo.com/financial-freedom-roadmap/#mob-calculator

03

CHOOSE THE RIGHT ACCOUNT

Money, invested in the same fund, can be taxed in three different ways depending on which type of account it sits in. A pension, a Stocks & Shares ISA and a General Investment Account (GIA) may hold the same shares and funds but when, and if, you pay tax differs meaningfully between them.

Pension

GOING IN up to £60k per year, tax relief at your marginal rate.
INSIDE growth is tax-free.
COMING OUT 25% tax-free, the rest taxed as income. Locked until 55 (57 from April 2028).

Stocks & Shares ISA

GOING IN up to £20k per year, no tax relief.
INSIDE growth is tax-free.
COMING OUT tax-free, at any age, for any reason.

General Investment Account

GOING IN no limit per year, no tax relief.
INSIDE dividends and gains taxed above small annual allowances.
COMING OUT no further charge. Tax already paid.

Check out the UK Investment Accounts & Tax link below for a more in-depth analysis of the different types of accounts.

UK Investment Accounts & Tax →

investingbuffalo.com/uk-account-types

04

START INVESTING

Access to financial markets has never been easier and there are even platforms where you can trade commission free, with no account fees and with instant execution of transactions.

Open a Stocks and Shares ISA

Contribute up to £20,000 a year and all growth is tax free. When choosing a platform to start with, look for low or zero fees, no commission, and the option to buy fractional shares so you can start small. Make sure any provider is authorised by the FCA, which you can check on the FCA register.

Pick a Global Index Fund

There are many ways to invest. Global Index funds have a strong long-term track record and typically spread your risk across thousands of companies. Globally diversified funds that automatically reinvest dividends (accumulation funds) are a popular starting point.

Make Regular Contributions

Aim to contribute every month and let the power of cost averaging kick in.

Check out the links below for a selection of popular platforms and index funds.

Finally you can hit the Map Your Path link below to get a free personalised roadmap to financial freedom based on your own data.

Platforms →

investingbuffalo.com/uk-platforms

Global Index Funds →

investingbuffalo.com/the-lookout

Map Your Path →

investingbuffalo.com/map-your-path

For more, visit investingbuffalo.com